Construction Partners (ROAD)

Roll-Up Executing

Analyst: Justin Wen

*Roll-Up Executing. FY25 revenue grew 54% to $2.81B with adjusted EBITDA up 92% to $423.7M [10-K FY25]. Q3 FY26 added 28% revenue growth and a record $3.36B backlog [10-Q Q3 FY26]. Seventeen acquisitions since FY2024 have been integrated across eight Sunbelt states. Our Math Disagrees With the Market. At $82.71 [Mkt 17-Oct-26], our DCF base of $62.61 implies 24.3% downside. Analysts see $133.50 on average, but the model says the market already prices an 11.5% growth rate. Honest read: a good company at a full price. Leverage Is the Swing Factor. 3.2x debt-to-EBITDA with $90.4M of annual interest is the main thing standing between this business and a higher multiple [10-K FY25]. Getting to the 2.5x target is the clearest path to closing the valuation gap. Our framework screens it as a **Hold** with a $65.02 blended target, 21% below the current price.*

HOLD	$65.02	-21%	$82.71
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Our Math Disagrees With the Market. At $82.71 [Mkt 17-Oct-26], our DCF base of $62.61 implies 24.3% downside. Analysts see $133.50 on average, but the model says the market already prices an 11.5% growth rate. Honest read: a good company at a full price.

Leverage Is the Swing Factor. 3.2x debt-to-EBITDA with $90.4M of annual interest is the main thing standing between this business and a higher multiple [10-K FY25]. Getting to the 2.5x target is the clearest path to closing the valuation gap.

$999.4M	$163.0M	$1.08	$3.36B	$2.81B	~3.2x
REVENUE (Q3 FY26)	ADJ EBITDA (Q3 FY26)	ADJ EPS (Q3 FY26)	BACKLOG (Q3 FY26)	REVENUE (FY2025)	DEBT / EBITDA (TTM)

The moat is structural

Federal and state infrastructure funding; public contract awards expected up 10-15% in FY2026

Three scenarios make the valuation range explicit

The DCF values Construction Partners across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$33.78**	-59%
Base	50%	**$61.07**	-26%
Bull	25%	**$104.17**	+26%

Bear ($33.78, -59%): Growth disappoints and multiples compress; the $33.78 target marks the downside case.

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Bull ($104.17, +26%): Execution compounds and the multiple rerates; the $104.17 target marks the upside case.

The probability-blended target implies -21% upside

Blended target: $65.02 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -21% upside from the $82.71 reference price.

$65.02

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 21.7x [Mkt 17-Oct-26] DCF Base $62.61 (-24.3%) TTM EPS $2.39 [Mkt 17-Oct-26] Forward multiple looks reasonable on its own, but DCF says the price embeds growth the model cannot underwrite. The absolute verdict is negative at $82.71.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $65.02 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Federal and state infrastructure funding; public contract awards expected up 10-15% in FY2026 [8-K guid]

Vertical integration with over 50% of liquid asphalt supplied internally, supporting pricing power [8-K guid]

M&A roll-up: 17 acquisitions since FY2024 with $140M of acquired revenue carrying into FY27 [8-K guid]

Private demand from data centers, warehouses, and industrial projects across eight Sunbelt states [8-K guid]

What to monitor

Late Nov 2026. Q4 FY26 Earnings (Two-Sided): Full-year guidance test. Backlog conversion and leverage progress are the numbers that matter.

2026-2027. Highway Bill Reauthorization (Positive): A new multi-year federal bill would de-risk the funding backdrop for years.

FY2027. M&A Pipeline (Positive): $140M of acquired revenue carries into FY27 with an active platform and tuck-in pipeline.

Oct 2026. J.H. Strain Integration (Positive): West Texas acquisition adds two asphalt plants in the Abilene market with data center exposure.

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$999.4M	$163.0M	$1.08	$3.36B
REVENUE (Q3 FY26)	ADJ EBITDA (Q3 FY26)	ADJ EPS (Q3 FY26)	BACKLOG (Q3 FY26)

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$2.8B	$439M	$102M
2024	$1.8B	$258M	$69M
2023	$1.6B	$196M	$49M
2022	$1.3B	$139M	$21M

Key risks

Leverage. Debt to EBITDA sits near 3.2x against a 2.5x target, and $90.4M of annual net interest expense consumes most of operating income. Deleveraging has to happen before the multiple can expand. [10-K FY25]

Federal Funding Reauthorization. The federal highway bill faces reauthorization uncertainty. Management expects no major disruption from a continuing resolution, but short-term projects could take priority until a multi-year bill passes. [8-K guid]

Acquisition Integration. Seventeen acquisitions since FY2024 drive most of the growth. Integration missteps or overpaying for the next platform deal would impair the compounding story. [10-K FY25]

Seasonality and Weather. Paving is seasonal and weather-exposed; wet weather already weighed on Q3 energy costs and scheduling. Quarterly results will always be lumpy. [10-Q Q3 FY26]

Investment view

Q4 FY26 results and the FY2027 outlook in late November decide it: if organic growth holds 7-8% and leverage drops toward 2.5x, the downside case fades. If integration stumbles or the highway bill stalls, our $62.61 base becomes the ceiling rather than the floor.

Hold. The $65.02 blended target implies -21% upside, balancing the $33.78 / $61.07 / $104.17 Bear / Base / Bull targets.

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Upcoming catalysts

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